

Comparative Statics with Bargained Prices

Pascal Michailat
<https://pascalmichailat.org/w/>

Bargained price:

$$- p = p^m = \frac{X^\varepsilon \cdot \mu}{k} \cdot \frac{(1-\beta)^{\varepsilon-1}}{f(\tau^{-1}(\beta/(1-\beta)))}$$
$$- \underline{x = \tau^{-1}(\beta/(1-\beta))}$$

Diagrammatic annotations: A red circle highlights $X^\varepsilon \cdot \mu$. A red bracket groups the denominator $f(\tau^{-1}(\beta/(1-\beta)))$. Red arrows indicate the following effects: an upward arrow on ε , a downward arrow on $\beta/(1-\beta)$, and a downward arrow on the entire denominator term. A large red bracket on the right side of the equations is associated with an upward arrow.

AD shock: Increase in X, μ

- Tightness x remains the same
- Price p increases $\rightarrow$ absorbs AD shock so quantities remain the same
- $\eta, c, f(x), 1-f(x), \tau(x) \rightarrow$ remain the same b/c x is the same $\rightarrow$ AD is neutral

AS shock: Increase in k

- Tightness x remains the same
- Price p decreases $\rightarrow$ Absorbs AS shock so tightness remains the same
- $f(x), 1-f(x), q(x), \tau(x) \rightarrow$ remain the same
- $\eta = f(\underline{x}) \cdot \underline{k}$ so output increases
- $c = \eta / (1 + \tau(x))$ so consumption increases

Bargaining shock: Decrease in β (bargaining power of buyers)
↳ Increase in bargaining power of sellers
($\sim$ increase in markups)

- Tightness $\alpha = z^{-1} (\beta / (1-\beta))$ decreases
 $\nearrow$ z is increasing $\nearrow$ $\beta / (1-\beta) \downarrow$
 so z^{-1} is also increasing

- Price p increases
- η decreases
- $1 - f(n)$ increases
- $f(n)$ decreases
- $z(n)$ decreases

Big difference b/w bargained & fixed price.

- AD shocks are neutral under bargained price but not fixed price
- As shocks do not affect tightness under bargained price but they do under fixed price.